Rent levels and out-of-borough placement in London, March 2026

Introduction

Housing in London 2026 reports 76,040 households living in temporary accommodation at the end of March 2026, the highest figure since the series began in 1988. Of those, 35,460 were owed a temporary accommodation duty outside their home borough, and 35,380 had actually been placed there. Those placements are what this analysis is about. A household placed outside its borough is a household moved away from its school, its GP, its support network and often its work. For families with children, the cost of that move is measured in disrupted schooling rather than in housing statistics.

ONS figures for March 2026 show one-bedroom private rents ranging from £2,572 a month in Kensington and Chelsea down to £1,217 in Havering, a gap of more than two times across a single city. That raises an obvious question: are the high-rent boroughs pushing families outward, and which boroughs are absorbing them?

This analysis tests the first half of that question. It joins borough-level temporary accommodation returns from MHCLG to borough-level private rents from ONS for the same month, March 2026, across the 32 London boroughs, and asks whether a higher rent level goes with a higher share of households placed outside the borough. The City of London is excluded because ONS does not publish rent figures for it.

The question and the three conditions that would falsify the answer were both written down before the data was opened. They are reported below whether or not they were met.

Method and tools. The analysis was written in Python. The MHCLG tables were read with pandas and odfpy, the ONS rent file with pandas and openpyxl, and the two were joined on ONS local authority codes rather than on borough names, so that spelling differences such as Kensington and Chelsea against Kensington & Chelsea could not silently drop a row. The join returned 32 rows, as expected. Out-of-borough share was calculated as households placed in temporary accommodation in another local authority divided by total households in temporary accommodation, using the share rather than the count so that large boroughs do not dominate. The association was measured with Spearman rank correlation, chosen over Pearson because 32 observations is a small sample and the rent distribution is skewed by a handful of very expensive inner boroughs. The chart is matplotlib.

Checks. Three boroughs were verified by hand against both source files before any result was trusted: Kensington and Chelsea as the highest rent, Havering as among the lowest, and Newham as the largest caseload. The London totals were reconciled against the published figures. The result was then re-run four ways: with a three-month average rent instead of a single month, with the broader out-of-area definition, with the three most expensive boroughs removed, and against demand instead of rent. All four are reported below, including the one that could have overturned the finding.

Question. Do London boroughs with higher private rents place a larger share of their temporary accommodation households outside the borough?

Answer. Yes, moderately, and the pattern survives all three of the falsification tests set before the analysis was run. But rent is nowhere near the whole story, and the two clearest counterexamples sit at opposite ends of the rent scale.

Out-of-borough share, used throughout, means households placed in temporary accommodation in another local authority divided by all households in temporary accommodation in that borough. Across the 32 boroughs it ranges from 6 per cent in Bexley to 81 per cent in Bromley.

Result

Rank a borough by rent and rank it by how many households it sends away, and the two orderings line up more often than chance would produce. They do not line up tightly.

In numbers: Spearman rho = **0.486**, p = **0.005**, n = **32**. The p value says a pattern this strong would turn up by luck about 5 times in 1,000 if rent and placement were unrelated. The rho says the link, while real, is loose enough that rent is one input among several rather than the mechanism.

The three falsification tests

1. Is the correlation near zero or negative? No. Rho is 0.486 with p = 0.005.

2. Is it driven by the most expensive boroughs? No. Dropping the three priciest, Kensington and Chelsea, Westminster and Islington, the correlation strengthens to rho = 0.527, p = 0.003, n = 29. The pattern is not an artefact of a handful of very expensive boroughs. In fact Kensington and Chelsea, the most expensive borough in London at £2,572 for a one-bed, has an out-of-borough share of only 35 per cent, below the London average, and is pulling the correlation down rather than up.

3. Does total demand explain it better than rent? No, and this is the strongest result in the analysis. Temporary accommodation households per thousand households, the demand measure, has rho = 0.100 with p = 0.59 against out-of-borough share. Essentially no relationship. Newham illustrates it: the largest temporary accommodation caseload in London at 7,561 households, yet an out-of-borough share of 42 per cent, close to the middle of the distribution. Pressure of demand does not predict who gets sent away. Rent level does, weakly.

Where it breaks

Bromley is the clearest counterexample. At £1,300 for a one-bed it is the sixth cheapest borough in London, yet it places 81 per cent of its temporary accommodation households outside the borough, the highest share of all 32. Merton and Richmond upon Thames do the same thing at mid-range rents, both above 75 per cent.

Kensington and Chelsea is the counterexample at the other end. Most expensive by a distance, yet 24 of the 32 boroughs place a larger share of their households out than it does, putting it in the bottom third.

Both say the same thing: borough placement policy and available stock are doing work that rent level does not capture.

Three hand checks against source

Borough	One-bed rent, Mar 2026	Households in TA	Placed in another LA	Share
Kensington and Chelsea	£2,572	1,810	642	35.5%
Havering	£1,217	1,320	213	16.1%
Newham	£1,618	7,561	3,173	42.0%

London totals from the MHCLG table are 76,020 households in temporary accommodation and 35,460 owed a temporary accommodation duty in another local authority, of which 35,380 were placed in temporary accommodation there. Housing in London 2026 gives 76,040 for the first figure, a difference of 20 households that does not affect anything here.

Robustness

Three-month average rent, January to March 2026, instead of a single month: rho = 0.492, p = 0.004. No material change.

Broad out-of-area definition instead of the narrow one: rho = 0.486. Identical.

ONS flags local authority rent figures as experimental with smaller samples than the national series, and advises reading them as trends rather than single months. The three-month check above is a partial answer to that, not a complete one.

Recommendations

Do not use rent as the targeting signal on its own. It is real but weak, and it misses the boroughs with the highest shares. Bromley, Merton and Richmond upon Thames all place more than three quarters of their households out while sitting at or below mid-range rents. Out-of-borough share is directly measurable from

TA9_TATYPE for every borough every quarter, so there is no need to use rent as a proxy for something already published.

Separate the share question from the volume question. Bromley has the highest share in London at 81 per cent, but that is 1,314 households. Westminster at 65 per cent and Newham at 42 per cent are 3,250 and 3,173 households. Five boroughs, Westminster, Newham, Lambeth, Southwark and Wandsworth, account for 36 per cent of all out-of-borough placements in London. Siting decisions for new temporary and social homes follow the volume; policy questions about why a borough cannot house its own follow the share.

Treat the high-rent inner boroughs and the high-share outer boroughs as two different problems. Westminster, Islington, Camden and Hammersmith and Fulham combine high rent with high displacement, consistent with a price mechanism. Bromley, Merton and Richmond do not, which points at stock and local placement policy instead. The same intervention will not fix both.

Where new homes go should be decided against destination data, not origin data. This analysis identifies the boroughs sending families away. It does not identify where those families land, and it is the distance between origin and destination that determines whether a child keeps their school.

Limitations

Correlation across 32 boroughs at a single point in time. It cannot distinguish a borough placing families out because rents are high from one placing them out because it holds no stock of its own, and those two conditions travel together. Nothing here establishes a causal push.

Rent is measured at the borough average, placements are not. A one-bedroom average for a whole borough says little about what a family of four actually faces, and the households in this dataset are disproportionately families. Two and three bedroom rents would be a closer match to the population being placed.

The homelessness data runs four and a half months behind. January to March 2026 was published on 13 August 2026 and is the most recent borough-level release. The rent series runs to September 2026, but a September rent has nothing to join to, so the analysis is pinned to March.

ONS treats local authority rent figures as experimental, with much smaller samples than the national series, and advises reading them as longer-term trends rather than single months. The three-month average check above is a partial answer to this rather than a complete one.

One definitional choice was made. TA1 column 22, Households owed a TA duty in another LA, mixes placements with cases recorded as duty owed but no accommodation secured, and note 36 warns the total can exceed the total in temporary accommodation. The numerator used here is TA9_TATYPE, Placed in temporary accommodation in another LA, which excludes that component. For London the two definitions give TA1 column 22: 35,460 and TA9_TATYPE: 35,380. The broader figure is the larger one, as expected, and the gap is exactly the 80 households recorded as duty owed with no accommodation secured. Substituting one definition for the other leaves the correlation unchanged to three decimal places.

Recorded destination is incomplete. Note 48 states that some out-of-area placements carry incorrect or non-England local authority codes, so destination totals do not always reconcile with the out-of-area total.

What to do next

Follow the families, not the boroughs. TA9 records destination by region and TA9_HHTYPE splits out-of-area placements by household composition. Isolating households with dependent children and mapping origin against destination is the analysis that actually bears on whether children stay near their schools. It is the obvious next step and the data is already in the same file.

Add stock as a third variable. If social housing stock per thousand households is included alongside rent, it should be possible to tell whether Bromley, Merton and Richmond are explained by having nothing to place people into. That would separate the price story from the supply story.

Build the quarterly series. One quarter cannot show whether displacement is worsening. Running the same join back across previous releases would show direction, and the script is unchanged apart from the file paths.

Repeat with two and three bedroom rents, which match the household composition of the people being placed more closely than a one-bedroom average does.

Sources

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Answer. Yes, moderately, and the pattern survives all three of the falsification tests set before the analysis was run. But rent explains less than a quarter of the rank variation, and the two clearest counterexamples sit at opposite ends of the rent scale.

Result

Spearman rho = **0.486**, p = **0.005**, n = **32**.

The relationship is positive and unlikely to be chance. It is also modest. A Rho of 0.486 explains just under a quarter of the variation in borough rankings.

The three falsification tests

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